

VANGUARD TAX DOCUMENT GUIDE
A Reference for Year-End Tax Reporting

DOCUMENT METADATA

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1. OVERVIEW

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Each tax season, Vanguard issues a series of IRS information returns documenting account activity and contributions. The forms covered are issued to you AND filed with the IRS. You generally do not need to mail them with your return; If you don't receive an expected form, log in at investor.vanguard.com -> Tax Center, or call 800-555-0199.

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2. FORM-BY-FORM REFERENCE

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2.1 FORM 1099-DIV - DIVIDENDS AND DISTRIBUTIONS

Issued to: Holders of taxable accounts (non-retirement) that received dividend or capital gain distributions of \$10 or more.
Issuance Schedule: Mailed and posted online by January 31. Some funds may issue a "corrected 1099-DIV" in February or later.

Key Boxes:

- Box 1a: Total ordinary dividends (taxed at ordinary income rates)
- Box 1b: Qualified dividends portion (taxed at preferential long-term capital gains rates)
- Box 2a: Total long-term capital gain distributions
- Box 3: Nondividend distributions (return of capital)
- Box 5: Section 199A dividends (REIT dividends eligible for QBI deduction)
- Box 6: Foreign tax paid (eligible for foreign tax credit on Form 1116)
- Box 7: Foreign country
- Boxes 11-13: Tax-exempt interest dividends and AMT-related amounts (for muni-bond funds)

Common Issues:

- Reinvested dividends are still taxable in non-retirement accounts even though no cash was received
- The "qualified" portion (Box 1b) may differ from total dividends if the fund held some non-qualifying securities (e.g., REITs)

2.2 FORM 1099-B - PROCEEDS FROM BROKER TRANSACTIONS

Issued to: Brokerage account holders who sold securities (stocks, ETFs, bonds, options, mutual funds) during the calendar year.
Issuance Schedule: Mailed and posted by mid-February. Vanguard typically issues a CONSOLIDATED 1099 covering 1099-DIV and 1099-B.

Key Information per Sale:

- Description and CUSIP
- Acquisition date(s)
- Sale date and proceeds
- Cost basis (per the method elected; see VG-OP-007)
- Gain or loss
- Long-term vs short-term classification
- Wash sale loss disallowance, if applicable
- "Covered" or "non-covered" status

For mutual funds, cost basis defaults to Average Cost; for stocks/ETFs, FIFO. Investors may elect different methods (see Form 1099-B instructions).
Tax Form to Complete:

- Schedule D (Capital Gains and Losses) summarizes all capital gain/loss activity
- Form 8949 (Sales and Other Dispositions) details individual transactions

2.3 FORM 1099-R - DISTRIBUTIONS FROM RETIREMENT PLANS

Issued to: Account holders who took distributions of \$10 or more from Traditional IRAs, Roth IRAs (in some cases), 401(k)s, 403(b)s, and 529 plans.

Issuance Schedule: Mailed and posted by January 31.

Key Boxes:

- Box 1: Gross distribution
- Box 2a: Taxable amount
- Box 2b: "Taxable amount not determined" indicator
- Box 4: Federal income tax withheld
- Box 7: Distribution code (critical for tax treatment)

DISTRIBUTION CODES:

- 1: Early distribution, no known exception (10% penalty applies)
- 2: Early distribution, exception applies (Roth conversion, IRS levy, etc.)
- 7: Normal distribution (after age 59-1/2)
- G: Direct rollover
- B: Designated Roth contribution
- T: Roth IRA distribution, exception applies (e.g., disability, first-time homebuyer)

2.4 FORM 5498 - IRA CONTRIBUTION INFORMATION

Issued to: All Traditional IRA, Roth IRA, SEP-IRA, SIMPLE IRA, and inherited IRA account holders.

Issuance Schedule: Mailed and posted by May 31. The late issuance accommodates contributions made up to the April tax deadline.

Key Boxes:

- Box 1: Traditional IRA contributions
- Box 2: Rollover contributions
- Box 3: Roth IRA conversions (from Traditional, SEP, or SIMPLE - see VG-OP-006)
- Box 4: Recharacterizations (rare; eliminated for conversions in 2018)
- Box 5: Fair Market Value as of December 31
- Box 7: Indicates IRA type (Traditional, Roth, SEP, SIMPLE)
- Box 8: SEP-IRA contributions
- Box 9: SIMPLE-IRA contributions
- Box 10: Roth IRA contributions
- Boxes 11-15: Required Minimum Distribution information (see VG-OP-003)

2.5 FORM 1099-INT - INTEREST INCOME

Issued to: Account holders who received \$10 or more in interest, typically from bond holdings or money market funds (including mutual funds).

Issuance Schedule: Mailed and posted by January 31.

Key Boxes:

- Box 1: Interest income
- Box 3: Interest on U.S. Savings Bonds and Treasury obligations (federally taxable but state-tax-exempt in most states)
- Box 4: Federal income tax withheld

2.6 FORM 1099-MISC and 1099-NEC

Rare for Vanguard customers; issued for substitute payments in lieu of dividends (1099-MISC) or for amounts paid to vendors (1099-NEC).

3. SCHEDULES AND ATTACHMENTS

YEAR-END TAX LETTER

Vanguard issues a year-end tax letter (typically posted by late January) that includes:

- Percentage of distributions attributable to U.S. government obligations (relevant for state-tax exemption)
- Foreign source income percentages (for Form 1116 foreign tax credit)

- Section 199A REIT dividend percentages
- AMT-preference item information

This letter is NOT a tax form but is critical for accurate state and federal return preparation.

CONSOLIDATED 1099

Most Vanguard Brokerage account holders receive a SINGLE consolidated 1099 covering 1099-DIV, 1099-B, 1099-INT, and a

4. CORRECTED FORMS

Vanguard may issue CORRECTED forms if:

- Mutual fund managers reclassify distributions after year-end (common for some funds)
- Cost basis adjustments are made (e.g., wash sale corrections)
- Identifying errors are discovered

Corrected forms are clearly marked "CORRECTED" in the upper portion. If you've already filed your return when a corre

5. WITHHOLDING ELECTIONS

Default federal withholding on retirement account distributions:

- Traditional IRA / 401(k) lump-sum: 10%
- 401(k) eligible rollover distribution: 20% (mandatory unless direct rollover)
- Periodic payments (e.g., RMDs): 10% unless other elected
- Roth IRA earnings (non-qualified distribution): 10%
- Roth IRA principal distribution: 0% (no withholding required)

State withholding varies. To change: complete IRS Form W-4R (federal) and applicable state form, or update online dur

6. STATE TAXATION

States that DO NOT tax distributions on U.S. government obligations: Most states (e.g., NY, IL, CA, MA, NJ, PA, TX (n

Some states require additions to federal income for AMT-preference items, in-state-bond exclusions, and other adjustm

7. INTERNATIONAL TAX CONSIDERATIONS

Form 1116 Foreign Tax Credit:

- If your fund paid foreign taxes (Box 6 of 1099-DIV), you may claim a foreign tax credit
- Threshold: amounts under \$300 (single) / \$600 (MFJ) may be claimed directly without Form 1116
- Vanguard's year-end tax letter provides foreign source income percentages by fund

8. TAX-ADVANTAGED ACCOUNT REPORTING

For Roth IRA conversions (see VG-OP-006), the conversion appears on:

- Form 1099-R (the distribution from the Traditional IRA)
- Form 5498 (the contribution to the Roth IRA, Box 3)

If you made non-deductible contributions to a Traditional IRA, file IRS Form 8606 with your return to track basis. Va

9. ELECTRONIC DELIVERY AND IMPORT

E-Delivery: All Vanguard tax forms are available electronically at investor.vanguard.com -> Tax Center if you've enro
TurboTax / H&R Block / Tax Software Import: Vanguard supports direct import of consolidated 1099 data into major tax

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10. RELATED DOCUMENTS

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- VG-OP-001 - Account Opening and Types Overview
- VG-OP-002 - Beneficiary Designation Policy (decendent tax issues)
- VG-OP-003 - Required Minimum Distributions Guide (RMDs and 1099-R)
- VG-OP-006 - Roth IRA Conversion Procedures (1099-R and 5498)
- VG-OP-007 - Cost Basis Methods Explainer (1099-B and Schedule D)
- VG-OP-009 - Margin and Trading Policies (interest deduction context)
- VG-OP-017 - Statement and E-Delivery Policy

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11. CONTACT

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Tax Reporting Group: 800-555-0199 (Mon-Fri 8 AM-10 PM ET)
Web: investor.vanguard.com -> Tax Center

Note: Vanguard cannot provide tax advice. For complex situations, consult a CPA or tax attorney.

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